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Day Sales Inventory (DSI):

It is the time taken by a company to clear its inventory. In our case, the DSI has gone up from 93 days to 117 days. An increase of 20% is not a good sign. As both accounts receivable and DSI are increasing, the company would need more working capital.



We can further breakdown DSI into three parts for better understanding:

1. Day Sales in Raw materials:

Here we can clearly see that time taken by the company to clear its raw material is increasing. It has increased from 33 days to 55 days over a few years. We need to understand why the company has increased its raw material over the years.

2. Day sales in Work in Progress:

This duration has not changed significantly. We can see that the company takes between 8-10 days to process its raw materials to finished products.

3. Day Sales in Finished Goods:

Here too, the duration for the sale of finished goods has remained constant or not increased tremendously. The quantity of finished goods with the company is constant as compared to sales.

It is evident from the above that **the company stacking up more and more materials**. The increase in the DSI of raw materials could be due to internal or external factors. For instance, it could be due to the effects of the COVID-19 pandemic or a change in the company's business approach. To ascertain the right reasons, we have to further clarify by asking questions to the management.

